could be better in terms of targeting the inflow of any specific foreign currency.

Third, foreign holders of bonds desiring to encash would be able to sell their holdings on the exchange where such bonds are listed. Other non-residents would normally buy such securities offered for sale. Flows to the Indian economy remain unaffected as the entire trade gets settled abroad. In case of rupee-specified securities, there is outflow of foreign currency from India. Rupee securities held by a non-resident would be sold on an Indian exchange or in the over-the-counter (OTC) market to another non-resident or resident. In either case, the seller wishing to redeem the securities would take the money back by taking US dollars for the rupee proceeds of the securities sold. There is a higher likelihood of foreign currency invested in rupee securities resulting in the outflow of foreign currency for bonds sold by non-residents in case of rupee-specified securities than FC sovereign bonds.

Fourth, demand for Indian securities improves equally in both cases, though the manner of improvement is different. In case of FC sovereign bonds, the supply of rupee-denominated securities reduces by the amount of foreign currency-denominated sovereign bonds issued, which is good for the demand-supply situation. In case of rupee-specified securities, the demand for government securities improves, which has a favourable impact on the demand-supply situation of government securities.

Fifth, there are different implications when the rupee is under pressure on account of factors like sharply rising oil prices, the Indian government running heavy deficits or the economy faring badly. In such situations, there is a clear tendency among FPIs to sell at least part of their rupee securities and repatriate the proceeds. Such behaviour puts additional pressure on the rupee. In case of FC sovereign bonds, the buy-and-sell action can take place only among foreign holders. Their actions cannot put any additional